

Tempus AI, Inc.

TEM NASDAQ

Buy	\$52.80 ▲ 4.62%	12M Price Target \$68.00	52-Week Range \$41.73 – \$104.32	Market Cap \$9.48B
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TEM: FDA CDx Clearance, BMS Deal Catalyze Re-Rating; Reiterate Buy

WHAT'S CHANGED

- TEM +13.1% over 4 sessions (May 26 \$46.66 → Jun 1 \$52.80) on FDA CDx clearance, AI oncology platform upgrades, and ArteraAI prostate test launch — first externally developed digital pathology algorithm on platform.
- BMS strategic partnership (May 23) layers onto existing pharma book; offsetting signal is CEO Lefkofsky selling ~166K shares (~\$7.76M) on May 27 into strength.

IMPLICATIONS

The cluster of catalysts — FDA companion diagnostic clearance, ArteraAI prostate launch, and BMS deal — meaningfully de-risks TEM's pivot from a lab-services narrative to an AI-enabled multi-modal data platform, the segment that justifies the premium multiple. With Tech ETF +8.5% over five days and AI-themed risk-on flow accelerating, TEM is benefiting from both fundamental catalysts and sector tailwinds. Record short interest (per TipRanks) combined with extreme bullish near-dated call flow (P/C 0.20, \$55-strike calls 3.2x OI) sets up potential gamma-squeeze dynamics into the late-June expiry.

VALUATION

At \$9.48B mkt cap on FY26E revenue of ~\$1.40B, TEM trades at ~6.8x EV/Sales, a discount to high-growth diagnostics peers (NTRA ~9x, GH ~5x) despite faster Data/AI segment growth. PT of \$68 implies ~8.5x FY27E sales of \$1.82B, supported by accelerating pharma deal velocity and operating leverage from AI platform scale. Multiple expansion hinges on Data/Services mix shift to >45% of revenue and visible path to EBITDA breakeven by 2H27.

KEY RISKS

- CEO insider selling of \$7.76M on May 27 immediately ahead of the rally raises questions on management's near-term valuation view.
- Record short interest creates two-way volatility; any genomics ASP pressure or partnership cadence slowdown could trigger sharp reversal.
- Cash burn and dilution risk persist; equity raise into strength is plausible given share-price recovery from 52-wk lows.

RECENT NEWS

Tempus AI (TEM) Is Up 9.3% After New FDA-Cleared CDx And AI Oncology Platform Upgrades Simply Wall St. · 2026-06-01 06:12

Short Report: Tempus AI short interest at record high TipRanks · 2026-06-01 05:05

How The Tempus AI (TEM) Investment Story Is Shifting As Analysts Rework Their Models Simply Wall St. · 2026-05-30 05:02

Key Data

Price (USD)	\$52.80
12M Price Target	\$68.00
Upside / (Downside)	+28.8%
Market Cap	\$9.48B
FY2026E Revenue	\$1,395M
FY2027E Revenue	\$1,820M
FY2026E EPS	(\$1.45)
FY2027E EPS	(\$0.85)
Fwd P/E	N/M

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



TEM — Tempus AI, Inc. | June 01, 2026

PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$60.00	\$54.00	\$46.00
6 Months	\$78.00	\$62.00	\$42.00
1 Year	\$95.00	\$68.00	\$38.00
2 Years	\$130.00	\$85.00	\$32.00
5 Years	\$220.00	\$130.00	\$25.00
10 Years	\$425.00	\$220.00	\$18.00

SECTOR INTELLIGENCE

HOT SECTORS: Technology, Energy

COLD SECTORS: Materials, Industrials

ROTATION WATCH: AI-themed rotation within Tech is broadening from mega-cap infrastructure to applied-AI verticals (healthcare, biotech-adjacent); TEM sits squarely in this second-derivative trade.

BYPRODUCT PLAY: Pharma-AI data partnerships (BMS/TEM-style deals) create knock-on demand for digital pathology, multi-omics data, and AI-CRO names (RXRX, SDGR) as drug developers rationalize R&D spend.

OUTPERFORMERS & PEER CONTEXT

- NTRA (Natera): scaling Signatera MRD revenue >50% YoY with operating leverage emerging — has set the bar for diagnostics-platform re-rating.
- RXRX (Recursion): benefiting from same AI-x-biology thematic; pharma deal monetization is the read-through KPI for TEM's BMS partnership.

TEM CONTEXT: TEM is closing the gap to diagnostics peers after lagging YTD; recent 13% 4-day move outpaces sector but stock sits at just 18% of 52-wk range, suggesting meaningful catch-up runway if catalysts continue stacking.

INVESTMENT STRATEGY

7/10 Conviction Score

Position Size: 2-4% of portfolio

Entry Points: \$48-51 on consolidation

Time Horizon: 12-24 months

Thesis Invalidation: Genomics revenue growth decelerates below 25% or Data/AI segment misses ASCO guidance

Hedging: Pair vs. short basket of richly-valued diagnostics peers (NTRA, GH) or long Jun puts